

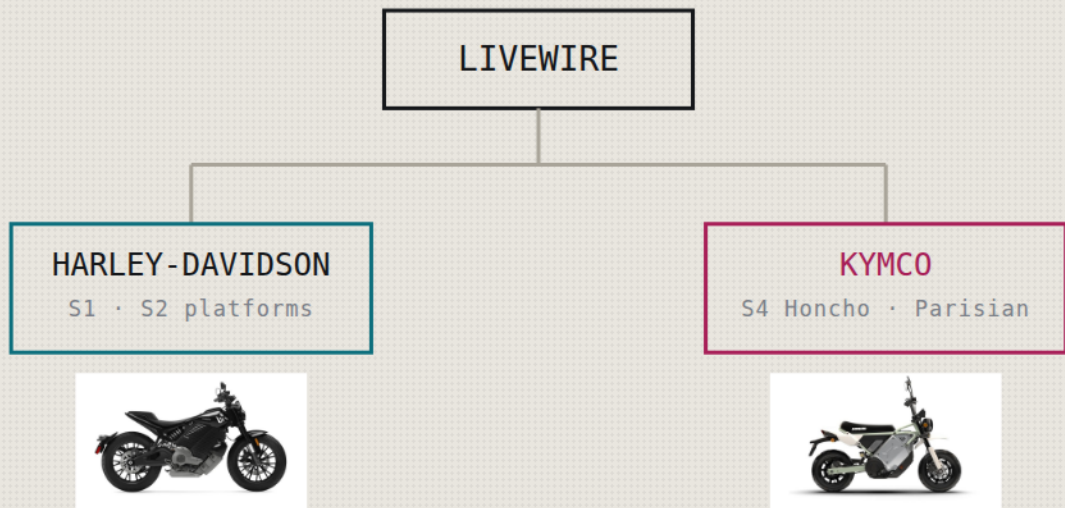
LIVEWIRE: 5 YEARS IN AND 1% OF PLAN · PART 3 OF 4

# TWO CONTRACTS, ONE TRAP

Why selling more motorcycles does not fix this.

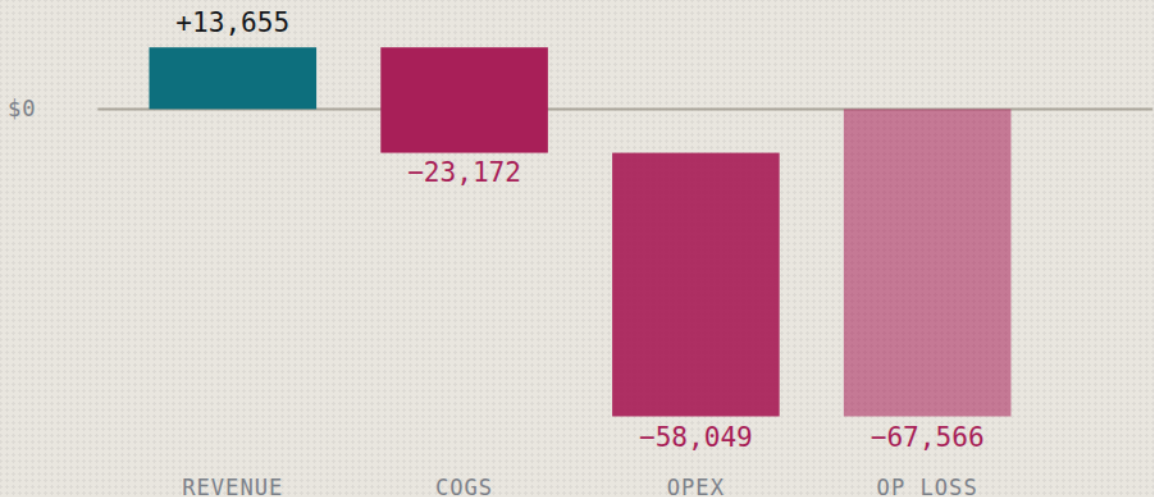


# TWO CONTRACT MANUFACTURERS, SIGNED THE SAME DAY



**Both dated 26 September 2022.** Both carry minimum annual volume commitments. Both charge a deficit fee if the volume is missed.

# WHERE THE MONEY GOES, PER MOTORCYCLE



The motorcycle is nearly a rounding error.  
**\$58,049 of overhead per unit is the business.**

## THE PART NOBODY REPORTS

# 87%

OF Q2'S GROSS LOSS WAS INVENTORY WRITE-DOWNS,  
NOT THE COST OF BUILDING THE MOTORCYCLE

GROSS LOSS, Q2 2026: \$2,534K

NRV WRITE-DOWNS \$2,204K

EVERYTHING ELSE

Harley builds the motorcycles. **LiveWire** buys them at **cost-plus**: Harley's cost, plus a mark-up. Then writes them down to what they can actually be sold for. The filing proves the bikes were carried above what they would fetch; the contract supplies the mechanism.

**Cost-plus in, write-down out. That is my reading of the two documents together.**



S2 • BOUGHT AT COST-PLUS, WRITTEN DOWN ON ARRIVAL

THE FY2025 10-K, EXPLAINING WHY COSTS IMPROVED

*"...primarily driven by a significant decrease of the number of motorcycles purchased in 2025 as compared to 2024 resulting in lower net realizable value adjustments..."*

LIVEWIRE GROUP, FORM 10-K, FILED 20 FEBRUARY 2026

**MARGINS IMPROVED BECAUSE THE COMPANY BOUGHT FEWER MOTORCYCLES.**



# SO DON'T BUY THEM. EXCEPT.

BUY THE MOTORCYCLES

They are  
worth  
less than  
you paid

87% OF Q2'S GROSS LOSS

DON'T BUY THEM

## \$6.1M

2023 PROVISION FOR EXCESS  
INVENTORY COMPONENTS HELD BY H-D  
UNDER THE CONTRACT MANUFACTURING  
AGREEMENT



BIKES ON A BENCH, WAITING ON PARTS

Parts Harley had already procured to build motorcycles LiveWire didn't take. **There is no third option.**

BEGINNING CALENDAR 2027

# MINIMUM ANNUAL VOLUME COMMITMENTS, PER PRODUCT, WITH A DEFICIT FEE.

To Harley-Davidson. And, under the agreement amended in May 2026, to **KYMCO as well.**



**The exposure that already cost \$6.1 million once now exists in duplicate, and stops being discretionary.**

## THE THIRD DOCUMENT • MASTER SERVICES AGREEMENT



# 90

DAYS' NOTICE. EITHER PARTY. NO TRIGGER REQUIRED.

Everyone quotes the "forty percent" clause. The paragraph under it, §8.3(c) and §8.4, lets Harley-Davidson end the services agreement **for convenience**. Payroll, IT, the building, engineering support. Ninety days.



# THE ECONOMICS WERE NOT DECIDED BY THE MARKET. THEY WERE DECIDED BY THE TERMS.



Part 4: the loan that settled it eight months before the quarter, and the people who did the work anyway.

Full brief: the KYMCO Exhibit A, redacted cell by cell, is in there.

[weppner58-moto.github.io/ground-truth](https://weppner58-moto.github.io/ground-truth)